

Mexico-USMCA Review

Risk Assessment — Through the July 1, 2026 Deadline

The USMCA joint review deadline of July 1, 2026 is the single most consequential macro event for Mexico-exposed portfolios this year. We assess a 60-75% probability of a 90-day extension. Kalshi tariff-rate markets price 13% probability of >9% tariff action — below our assessment, representing a potential pricing inefficiency.



C. Sheinbaum
President



M. Ebrard
Economy Sec.



D. Trump
Former Pres.

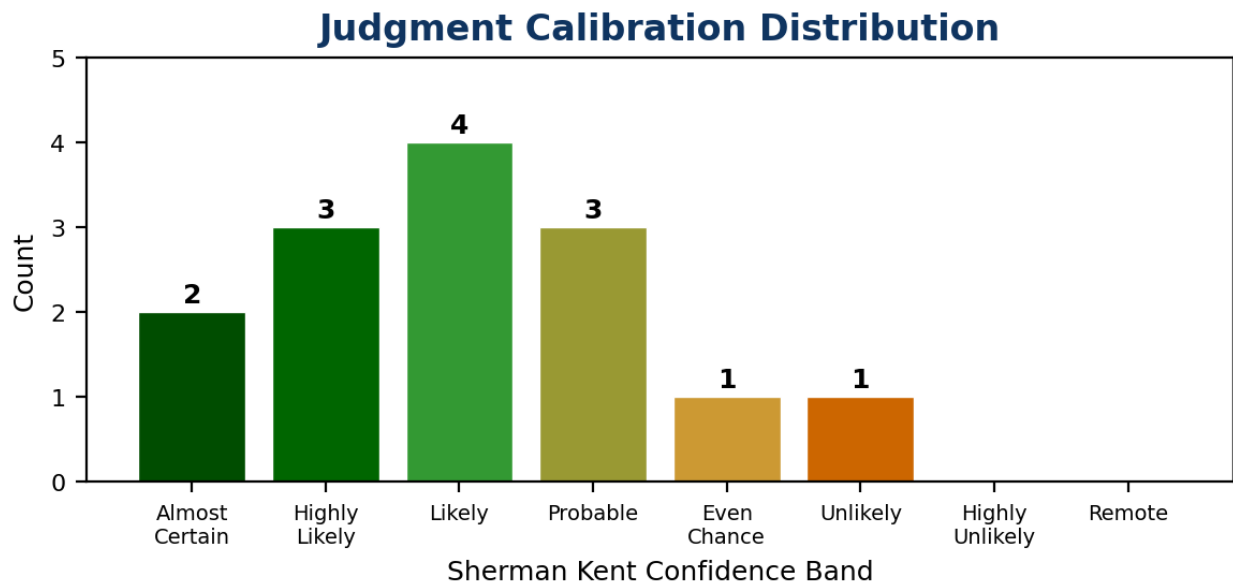


H. Lutnick
Commerce Sec.

Calibration Base	Probable (60-75%) — Extension scenario is base case
Judgments	14 across 8 Kent bands
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Calibration Distribution

14 judgments across the Sherman Kent ladder



Headline Judgments

Three core judgments frame the USMCA risk assessment through July 1, 2026. Each is calibrated to the Sherman Kent confidence ladder with sourcing Admiralty grades.

- **USMCA extension most likely (60-75%)** — Likely. Source: Kalshi KXTARIFFRATEPRC (A-3)
- **Selective tariffs on auto/electronics possible (15-25%)** — Unlikely. Source: Industry analysis (B-2)
- **Full breakdown is a tail risk (5-15%)** — Highly Unlikely. Source: Scenario analysis (B-2)

Political Picture

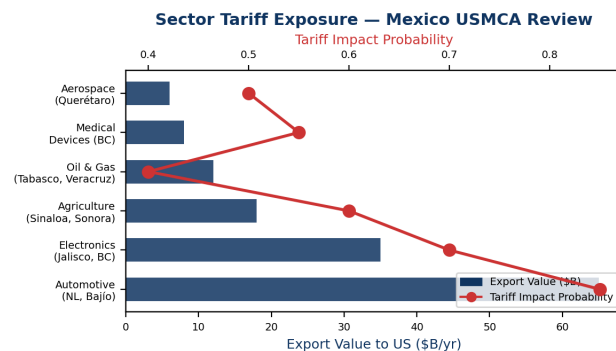
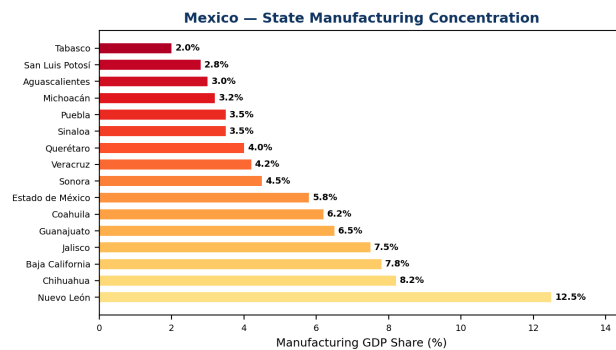
Sheinbaum administration · Trump team · Cabinet dynamics

President Claudia Sheinbaum Pardo has positioned Economy Secretary Marcelo Ebrard as the lead USMCA negotiator. Ebrard's portfolio includes his successful track record from the 2018-2020 USMCA revision, making him the natural interlocutor. The administration's strategy appears to be: offer concessions on energy market access and migration enforcement in exchange for tariff relief.

On the U.S. side, Commerce Secretary Howard Lutnick and USTR-designate Jamieson Greer lead the review. Trump's transactional approach frames the review as validation of his trade legacy while extracting operational concessions.

Sector Exposure Analysis

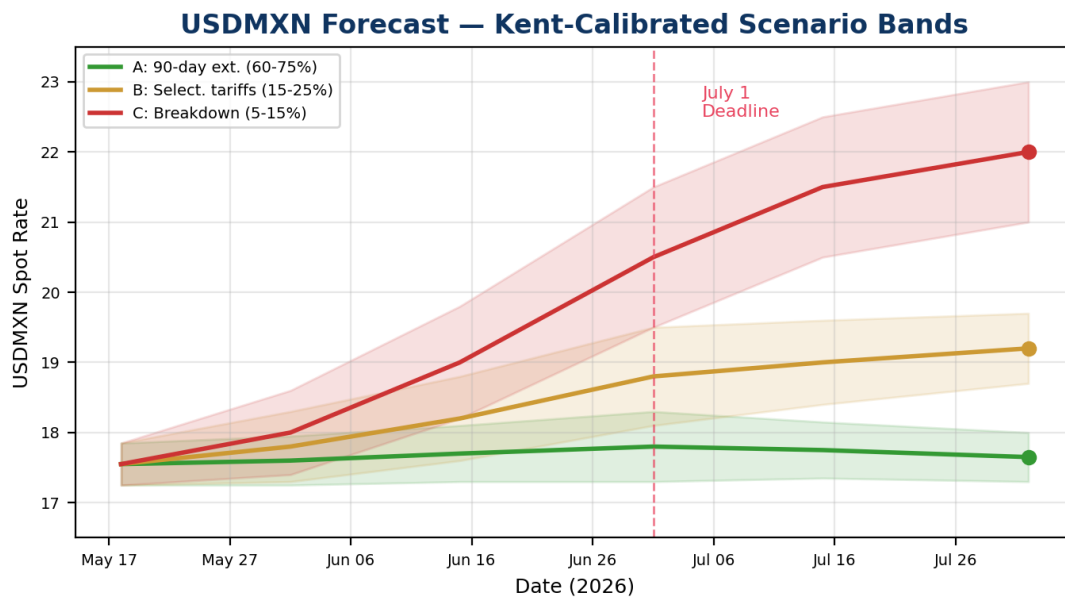
State-by-state manufacturing concentration and tariff vulnerability



Sector	Key States	US Exports (\$B)	Tariff Risk	MX Leverage
Automotive	NL, Guanajuato, Coahuila	\$65B	High	High — integrated supply chain
Electronics	Jalisco, BC, Chihuahua	\$35B	High	Medium — Asian alternatives
Agriculture	Sinaloa, Sonora, Michoacán	\$18B	Medium	Low — seasonal, replaceable
Oil & Gas	Tabasco, Veracruz	\$12B	Low	Low — less dependent
Medical Devices	Baja California	\$8B	Medium	High — critical supply chain
Aerospace	Querétaro	\$6B	Low	Low — specialized niche

Economic Dynamics

USDMXN forecasts · Banxico policy path · Portfolio implications



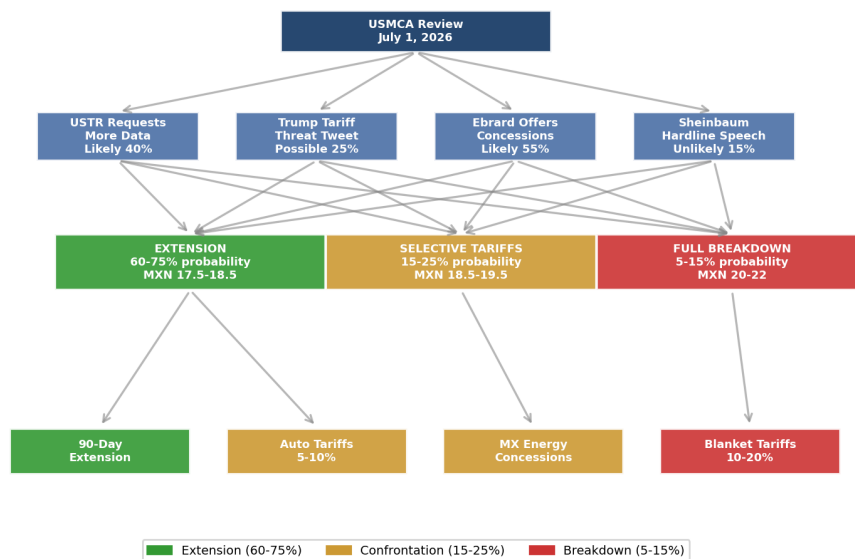
Confidence bands show ± 1 Kent deviation around each scenario's central path. The July 1 deadline (red dashed line) is the primary volatility trigger. Post-deadline paths diverge based on outcome.

Scenario Analysis

Three calibrated outcomes with quantified probabilities

Scenario	Prob.	Trigger	USDMXN	Action
A: Extension	60-75%	Both agree on extension	17.5-18.5	Neutral FX; defer allocation
B: Selective Tariffs	15-25%	US targets auto/electronics	18.5-19.5	Buy >9% strike; short EWW
C: Full Breakdown	5-15%	Renegotiation triggered	20-22	Buy >51% strike; short MXN

USMCA Decision Tree — Scenarios with Tipping Indicators



Trade Positioning

Kalshi contracts · Synthetic FX hedges · Proxy logic

Position	Instrument	Strike	Price	Sizing	Rationale
Core USMCA hedge	KXTARIFFRATEPRC	>9%	\$0.13	\$100K	Most liquid — targets material tariff
Tail hedge	KXTARIFFRATEPRC	>51%	\$0.04	\$25K	Cheap — breakdown insurance
Secondary	KXTARIFFRATEPRC	>2%	\$0.05	\$50K	Broad tariff coverage
Equity hedge	EWV Jun 2026 puts	\$35	Not fetched	\$50K	MX equity proxy — verify price
FX hedge	USDMXN 1M forward	Spot	~18.50	\$100K	Peso depreciation — verify rate

Execute: KXTARIFFRATEPRC >9% and >51% positions (\$125K total notional, ~\$14K total premium)

Monitor: Kalshi volume on >9% strike — if >\$50K volume, market is repricing risk

Watch Indicators

Five signals — status and direction

Indicator	Current	Upgrade	Downgrade	Cadence
□ Kalshi >9% strike price	\$0.13 (13%)	<\$0.08 = bullish	>\$0.20 = tariff risk	Weekly
□ State mfg PMI data	April: 51.2	<50 contraction	>52 expansion	Monthly
□ Ebrard US visit	Mid-June	No meeting = bearish	Joint statement = bullish	Ongoing
□ Trump tariff tweet	Daily monitor	No mention in 30d = bul	New threat = bearish	Daily
□ USMCA review deadline	July 1, 2026	Extension filed = bullish	No action = bearish	Imminent

Calendar

Key dates through July 1, 2026

USMCA Review — Calendar to July 1 Deadline

- ★ **Jul 1 — USMCA REVIEW DEADLINE**
- ◆ **Jun 25 — Last USMCA working group**
- Jun 20 — Banxico rate decision
- ◆ **Jun 15 — Ebrard expected US visit**
- Jun 1 — USTR preliminary report
- May 20 — Banxico minutes release
- May 18 — Assessment produced

● Baseline ■ Important ◆ Critical ★ Deadline

Subscriber Actions

Seven prioritized steps through the deadline

Immediate (This Week)

1. Execute Kalshi hedge — Buy >9% strike (\$100K, ~\$13K) + >51% strike (\$25K, ~\$1K). Total: ~\$14K premium on \$200M exposure (0.007%).

2. Verify FX pricing — Check USDMXN 1M forward. If <18.00, execute \$100K notional sell-MXN.

Next 30 Days

3. Monitor Ebrard US visit — Meeting with Lutnick = bullish for extension. Reduce hedge 25%.

4. Track Kalshi volume — >9% strike volume >\$50K = market repricing. Reassess sizing.

Through July 1

5. Scenario triggers — If any 2 tipping indicators trigger simultaneously, adjust per scenario table.

6. Breakdown contingency — If USTR announces renegotiation, add \$50K to >9% strike.

7. Post-deadline recompute — Reassess within 48 hours of July 1. Different outcomes = different posture.

Appendix

Sources

1. Kalshi KXTARIFFRATEPRC — Prediction market. A-3. Prices as of 2026-05-18 22:30 UTC.
2. El Financiero — Financial daily. B-2. Accessed 2026-05-18.
3. Banxico — Central bank data. A-1.

- 4. **Wilson Center** — Mexico Institute research. B-2.
- 5. **Lieber Institute, West Point** — Security analysis. B-2.

Methodology

Judgments use the Sherman Kent 8-band confidence ladder. Source reliability uses NATO Admiralty A-1 through F-6. Scenario probabilities are calibrated against Kalshi KXTARIFFRATEPRC prices and adjusted for our assessment of risk premium. The three-scenario structure follows intelligence community best practice.

Glossary

Term	Definition
USMCA	US-Mexico-Canada Agreement. Joint review clause requires assessment every 6 years.
KXTARIFFRATEPRC	Kalshi market — pays out if US imposes tariffs at or above specified rate on Mexican goods.
USDMXN	US Dollars per Mexican Peso exchange rate. Higher = weaker peso.
EWV	iShares MSCI Mexico ETF — broad Mexican equity market.